Trading Your Own Money

Trading for yourself is without a doubt the most common dream among hobby traders, but I will try to convince you here that this is the wrong dream. It doesn't make sense.

The first thing that you need to understand is that almost all day traders end up losing all or most of their money. The stories you hear of the social media stars, the influencers, and the gurus, it's not real life. The markets do not work that way. The stories are either made up, greatly exaggerated, or you might just hear about the gains and not the losses. Even if they were true, if such black market magic existed in the real world, using these supernatural abilities to trade for yourself still wouldn't make any sense.

What it comes down to is a simple risk assessment, best illustrated by example. Assume for a moment that you have worked hard and saved up US$100,000, and that you're now ready to start off your trading journey. You've done your research and you have a solid trading strategy to deploy your hard-earned money on, ready to trade for a living.

How much money do you need to live on? If you're based in Zurich, London, or New York, you probably need six figures to break even, but those are expensive locations. How much you need to take out of the account each year for living expenses may vary, but it's something that you do need to account for. With entry-level jobs in finance often paying in the low six figures, you would likely want to achieve this and hopefully more.

The second question would be what kind of risk you need to accept from trading, in order to have a shot at achieving such returns. Perhaps you decide that you need US$50,000 return per year to live on, from your US$100,000 trading account. That's 50%, and more than double of what Warren Buffett has accomplished. Does that sound realistic?

Even if you somehow are sure that you can average 50% return in the long run, which isn't very likely, your ride wouldn't be all that smooth. One year you're +80%, the next you're at −60%. It might even out to a positive number, but try telling your landlord that when your rent is due.

Another issue here is that you are giving up the compounding effect. Imagine the first year starting out exactly according to plan, and you actually reach your target 50%. Since you have living costs, you now withdraw US$50,000 from the account and the next year you start out with the same US$100,000. You will never grow the account this way. Worse still, if the second year ends up at −30%, you now have only US$70,000 on the